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Greater China Diversified Utilities

Where to Hide in Utilities, Renewables & Power Equipment Space?

CITI'S TAKE

Stock market sentiment has turned sharply with more cautious view on AI and data center related investment themes. 10-year US\$ treasury yield has also risen to 4.61% today, from 3.96% at February end. Investors are keen on sector rotation to low beta names in the near term (in July-Aug). In PRC/HK utility, renewables and power equipment sector, we think high yield plays such as ENN Energy (6.7% 2026E yield), CR Gas (5.9%), Beijing Enterprises (5.9%), Guangdong Investment (5.7%), China Everbright Env. (5.7%) and ENN Natural Gas (5.3%) could outperform in the next 30 days. While their 1H26 earnings might be relatively steady, downside risk looks limited. And all of them should have positive free cashflow to endorse their DPS.

Market sentiment turns — In the past three months, the worst performers within the sectors under our coverage in the Asian utilities, renewables and power equipment space were HD Hyundai Electric (-54%), Hyosung Heavy (-50%), Dongfang Electric (-47%), Dajin Heavy (-43%), Goldwind (-42%) and LS Electric (-41%). We attribute these sharp share price falls owing to more cautious view on AI related spending, treasury yield rise and certain stock specific reasons (e.g. no new order of offshore wind equipment sales for Dajin Heavy and more margin pressure of Goldwind's wind turbine generator sales due to higher blade unit cost).

PRC gas names look defensive — We have Neutral ratings on most PRC city gas distributors since their net profits are likely to be relatively flat and/or down single digit % yoy in 1H26E as a result of no retail gas sales volume growth (PRC retail gas prices were increased, hence should be relatively price competitive versus other energies) and less new household connections amid property market downturn. Therefore, PRC city gas distributors would be keen to sustain their DPS. ENN Energy has promised DPS not less than HK\$3.0 for 2026E. These gas distributors should be able to sustain their DPS despite mild profit cuts as their capex have been curtailed, they have positive free cashflow, and most of them have room to raise their payout ratios.

GDI with the highest yield among HK utilities — We forecast GDI's recurrent net profit to grow more than 5% yoy in 1H26E gaining from financial cost cuts. And we assume it to renew the concession rights for water supply to HK for another 30 years to 2060E at HK\$50bn, though the timing to conclude this is uncertain depending on the negotiation between HK and Guangdong provincial governments. GDI should be able to pay this amount with HK\$4bn pa free cashflow likely (netting dividend) in 2026-30E and also be able to raise further debt with it being in net cash. The company has also promised no DPS cut in the run up to 2030E. Its 5.7% 2026E yield is also the highest among HK yields.

Cautious on PRC IPPs — While 2026E yield of some PRC IPPs such as China Power Int'l (6.9%), CR Power (5.1%), Huadian (5.1%) and Huaneng (5.0%) looks decent, we are cautious on them as their earnings visibility is low amid tariff and utilization drops, hence there is downside risk. When their EPS drops, their DPS will also drop as they have fixed payout ratios. Among PRC IPPs, the most defensive is China Yangtze Power, but its yield is low at 3.6%.

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

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PRC/HK Utilities, Renewables & Power Equipment Sector

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Where to Hide in PRC/HK Utilities, Renewable & Power Equipment Space

Figure 1. Asian utilities company valuation comparison table

RIC	Citi Rating	Price 29 Jul 2026	Target Price	ETR	Mkt-Cap US\$m	Avg t/o US\$ m	Share Price Movement					P/E (x)		P/B (x)		Yield (%)		
							1-wk	1-mth	3-mth	6-mth	12-mth	2026E	2027E	2026E	2027E	2026E	2027E	
Korea (Grid Equipment & Utilities)																		
Hyosung Heavy	298040.KS	Buy	₩2,006,000	₩4,500,000	125%	12,873	131.9	-25%	-39%	-50%	-21%	55%	22.1	16.0	6.3	4.8	0.9%	1.3%
HD Hyundai Electric	267260.KS	Buy	₩686,000	₩1,100,000	89%	14,537	128.6	-26%	-37%	-53%	-35%	18%	21.9	16.9	7.5	5.5	0.9%	1.2%
LS Electric	010120.KS	Buy	₩163,800	₩320,000	96%	16,909	195.7	-14%	-27%	-40%	47%	169%	46.8	33.4	10.1	8.4	0.7%	1.0%
KEPCO - KR	015760.KS	Buy	₩3,100	₩68,400	83%	14,623	59.8	-2%	-13%	-26%	-46%	-17%	2.7	2.2	0.4	0.3	0.0%	0.0%
China (Power & Grid Equipment)																		
Sieyuan	002028.SZ	Buy	Rmb165.66	Rmb216.00	31%	19,146	346.3	7%	-5%	-16%	-11%	102%	34.8	26.7	7.0	5.7	0.5%	0.7%
Pinggao	600312.SS	Buy	Rmb19.76	Rmb24.00	23%	3,960	74.2	5%	13%	-10%	-8%	23%	21.2	18.3	2.2	2.1	2.0%	2.4%
XJ	000400.SZ	Buy	Rmb22.63	Rmb33.00	48%	3,404	85.3	4%	5%	-11%	-25%	-2%	17.8	16.7	1.7	1.6	2.3%	2.4%
NARI	600406.SS	Buy	Rmb23.93	Rmb31.00	32%	28,385	320.0	1%	2%	-10%	-5%	8%	20.8	19.2	3.4	3.2	2.9%	3.1%
Huaming Power Equipment	002270.SZ	Buy	Rmb19.89	Rmb32.50	67%	2,633	69.4	14%	5%	-22%	-35%	13%	22.6	20.0	5.2	4.8	3.2%	3.4%
Wasion	3393.HK	Buy	Rmb17.44	Rmb34.00	98%	2,323	19.4	-7%	-11%	-34%	-26%	92%	11.4	9.1	2.2	1.9	3.5%	4.4%
TGood	300001.SZ	Buy	Rmb34.17	Rmb49.60	46%	5,326	200.5	-1%	-10%	13%	25%	47%	24.9	19.0	3.7	3.2	0.7%	0.9%
Dongfang Electric	1072.HK	Buy	HK\$21.20	HK\$30.00	45%	9,351	44.1	-4%	-2%	-47%	-20%	8%	13.1	10.6	1.3	1.3	3.8%	4.8%
Harbin Electric	1133.HK	Buy	HK\$15.19	HK\$24.00	62%	4,332	17.8	-8%	-3%	-35%	-23%	98%	8.0	7.8	1.4	1.3	3.9%	4.0%
Shanghai Electric	2727.HK	Buy	HK\$3.20	HK\$4.50	42%	6,342	23.3	-2%	-8%	-18%	-24%	-6%	29.1	29.3	0.8	0.8	1.0%	1.0%
China (Wind)																		
Goldwind	2208.HK	Buy	HK\$9.61	HK\$20.00	111%	5,173	40.6	-1%	-1%	-42%	-37%	32%	8.7	7.6	0.7	0.7	3.6%	4.1%
Ningbo Orient Cables	603606.SS	Buy	Rmb40.97	Rmb66.67	64%	4,991	114.3	8%	-2%	-22%	-15%	3%	18.4	14.9	3.5	3.0	1.6%	2.0%
China Sunten	0956.HK	Buy	HK\$3.27	HK\$4.20	34%	895	2.9	2%	5%	-15%	-21%	-22%	8.4	7.6	0.5	0.5	5.9%	6.5%
Dajin Heavy	1081.HK	Buy	HK\$35.78	HK\$50.00	41%	4,272	13.0	13%	-43%	n/a	n/a	n/a	12.0	8.2	1.4	1.2	0.8%	1.2%
China Longyuan	0916.HK	Neutral	HK\$5.74	HK\$7.00	25%	2,429	21.5	2%	10%	-8%	-20%	-21%	8.6	8.0	0.5	0.5	3.5%	3.7%
Mingyang Smart Energy	601615.SS	Sell	Rmb11.27	Rmb12.00	9%	3,764	196.1	-2%	0%	-26%	-53%	-3%	18.7	14.1	0.9	0.9	2.7%	3.6%
China (Solar)																		
TBEA	600089.SS	Buy	Rmb20.65	Rmb36.00	77%	15,409	518.6	4%	-9%	-24%	-25%	47%	11.5	10.1	1.4	1.3	2.7%	3.1%
Sungrow	300274.SZ	Buy	Rmb106.55	Rmb185.00	75%	32,623	1,631.5	-3%	-32%	-23%	-27%	41%	14.7	11.7	3.8	3.0	1.7%	2.1%
Deye	605117.SS	Buy	Rmb85.13	Rmb142.86	70%	16,007	301.9	6%	-18%	-19%	38%	125%	20.0	15.9	7.7	6.0	2.6%	3.2%
Hangzhou First	603806.SS	Buy	Rmb14.26	Rmb21.00	50%	5,494	123.0	3%	-15%	-24%	-20%	-3%	20.7	17.7	2.1	2.0	2.5%	2.9%
GCL Technology	3800.HK	Buy	HK\$0.61	HK\$1.30	113%	2,502	24.8	0%	-10%	-36%	-46%	-52%	-23.9	12.3	0.4	0.4	N/A	N/A
Daqo New Energy	DQ.N	Buy	US\$11.85	US\$26.00	119%	802	5.4	-1%	-9%	-39%	-54%	-49%	-7.4	40.7	0.2	0.2	N/A	N/A
LONGi	601012.SS	Buy	Rmb12.81	Rmb26.00	103%	14,336	59.8	2%	0%	-23%	-32%	-23%	126.7	30.4	1.7	1.6	N/A	0.4%
Jinko Solar	688223.SS	Buy	Rmb4.27	Rmb7.50	76%	6,476	123.9	3%	-9%	-33%	-37%	-23%	-37.4	17.8	1.6	1.5	N/A	1.7%
Trina Solar	688599.SS	Buy	Rmb13.51	Rmb25.00	85%	4,674	99.6	5%	-2%	-16%	-32%	-19%	-28.8	19.1	1.4	1.3	N/A	1.3%
Tongwei	600438.SS	Buy	Rmb11.54	Rmb30.00	160%	7,673	116.4	4%	-4%	-33%	-39%	-46%	-24.1	22.0	1.3	1.2	N/A	1.4%
Xinyi Solar	0968.HK	Neutral	HK\$2.22	HK\$2.40	8%	2,590	18.8	2%	9%	-25%	-37%	-33%	-29.4	17.8	0.6	0.6	N/A	3.2%
Xinyi Energy	3868.HK	Neutral	HK\$0.89	HK\$1.00	20%	967	1.1	-5%	0%	-25%	-29%	-32%	6.7	6.5	0.5	0.5	8.5%	8.7%
Flat Glass	6865.HK	Neutral	HK\$6.73	HK\$7.00	4%	369	4.9	1%	10%	-26%	-42%	-40%	-11.1	75.2	0.7	0.6	N/A	0.4%
JA Solar	002459.SZ	Sell	Rmb7.39	Rmb7.00	-5%	3,612	78.2	1%	-6%	-31%	-38%	-38%	-6.5	-13.4	1.3	1.5	N/A	N/A
Maxwell	300751.SZ	Sell	Rmb161.87	Rmb165.00	2%	6,667	413.3	-14%	-39%	-27%	-50%	117%	66.4	35.2	5.3	4.7	0.3%	0.5%
China (Gas)																		
ENN Natural Gas	600803.SS	Buy	Rmb17.86	Rmb23.00	34%	8,166	25.2	5%	11%	-17%	-8%	-3%	10.3	9.7	2.3	2.2	5.3%	5.9%
Kunlun Energy	0135.HK	Buy	HK\$7.16	HK\$8.40	22%	7,888	10.4	3%	10%	-6%	-11%	-8%	9.0	9.1	0.8	0.7	5.6%	5.6%
ENN Energy	2688.HK	Neutral	HK\$46.60	HK\$47.00	7%	6,727	30.0	8%	11%	-26%	-32%	-30%	7.7	7.9	0.9	0.8	6.7%	6.7%
CR Gas	1193.HK	Neutral	HK\$16.67	HK\$20.00	26%	4,920	9.2	5%	12%	-12%	-23%	-17%	10.8	10.5	0.8	0.8	5.9%	6.2%
HKCG	0003.HK	Neutral	HK\$7.08	HK\$7.50	11%	16,849	22.8	2%	6%	-4%	-4%	0%	23.0	21.9	2.3	2.3	4.9%	4.9%
Towngas Smart Energy	1083.HK	Neutral	HK\$3.44	HK\$3.80	16%	1,659	0.8	3%	14%	-4%	-7%	-17%	9.0	8.4	0.5	0.5	5.5%	5.5%
Beijing Enterprises	0392.HK	Neutral	HK\$32.00	HK\$29.00	-4%	5,134	6.5	3%	16%	1%	-10%	-3%	6.6	6.3	0.4	0.4	5.9%	5.9%
China Gas	0384.HK	Sell	HK\$6.15	HK\$4.50	-21%	4,273	10.7	6%	13%	-17%	-23%	-27%	12.3	10.7	0.6	0.6	5.7%	5.7%
China (Power)																		
Yangtze Power	600900.SS	Neutral	Rmb28.93	Rmb29.00	4%	104,540	535.0	-1%	8%	8%	11%	1%	19.7	19.3	3.0	2.9	3.6%	3.7%
China Power Intl	2380.HK	Sell	HK\$2.80	HK\$2.50	-4%	4,417	12.7	-3%	-1%	-15%	-16%	-11%	10.9	12.0	0.7	0.7	6.9%	6.9%
Huadian	1071.HK	Sell	HK\$4.14	HK\$3.70	-6%	6,131	5.7	0%	8%	-3%	0%	-1%	8.5	9.4	0.8	0.8	5.1%	4.7%
CR Power	0836.HK	Sell	HK\$19.35	HK\$17.50	-4%	12,776	45.3	0%	11%	-1%	7%	-2%	7.9	8.2	0.8	0.8	5.1%	4.9%
CNNP	601985.SS	Sell	Rmb8.96	Rmb8.00	-9%	27,216	175.9	-1%	-1%	0%	4%	-3%	20.4	18.5	1.5	1.4	1.7%	1.9%
CGN Power	1816.HK	Sell	HK\$2.91	HK\$2.45	-12%	4,143	19.3	0%	7%	-15%	-10%	-3%	13.6	12.7	0.9	0.9	3.6%	3.9%
Huaneng	0902.HK	Sell	HK\$6.04	HK\$4.60	-19%	12,093	33.4	0%	9%	-6%	5%	21%	10.9	16.7	0.5	0.5	5.0%	3.3%
China (Environmental Protection)																		
CE Environment	0257.HK	Buy	HK\$5.10	HK\$5.80	19%	3,996	7.5	1%	9%	-7%	2%	20%	7.4	7.0	0.6	0.5	5.7%	6.1%
BE Water	0371.HK	Buy	HK\$2.36	HK\$3.05	36%	3,024	6.0	-4%	3%	-17%	-12%	-14%	13.0	12.3	0.7	0.7	7.4%	7.6%
Hong Kong & Regional																		
Guangdong Investment	0270.HK	Buy	HK\$8.28	HK\$9.00	14%	6,904	11.6	2%	6%	0%	11%	17%	11.4	10.9	1.2	1.2	5.7%	5.9%
CKI	1038.HK	Buy	HK\$62.10	HK\$73.50	23%	19,955	17.0	0%	3%	-6%	-4%	11%	6.5	18.0	1.1	1.1	4.3%	4.3%
Power Assets	0006.HK	Buy	HK\$58.65	HK\$70.00	24%	15,941	28.6	0%	2%	-10%	-4%	12%	7.5	17.5	1.2	1.2	4.8%	4.8%
CLP	0002.HK	Neutral	HK\$77.75	HK\$78.00	5%	25,052	31.5	0%	5%	3%	4%	15%	18.0	17.7	1.8	1.7	4.2%	4.2%
HKEI	2638.HK	Neutral	HK\$6.45	HK\$7.00	14%	7,269	2.6	1%	3%	1%	-4%	4%	17.1	17.0	1.1	1.1	5.0%	5.0%
Wgt average (by mkt cap)								-1%	-3%	-13%	-7%	19%	18.5	16.9	2.8	2.4	3.0%	3.2%

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Source: Citi Research

Figure 2. Asian utilities company valuation comparison table (cont'd)

	RIC	Business Type	EPS Growth 2026E	2027E	ROE 2026E	2027E	ROA 2026E	2027E	EV/EBITDA (x) 2026E	2027E	Net D/E 2026E	2027E
Korea (Grid Equipment & Utilities)												
Hyosung Heavy	298040.KS	Grid Equipment	42%	38%	32%	34%	11%	13%	16.0	11.5	-9.1%	-18.6%
HD Hyundai Electric	267260.KS	Grid Equipment	31%	30%	40%	38%	19%	20%	15.2	11.8	-35.7%	-43.7%
LS Electric	010120.KS	Grid Equipment	83%	40%	23%	27%	10%	12%	32.7	23.3	36.8%	37.7%
KEPCO - KR	015760.KS	Generation	-7%	20%	15%	16%	3%	3%	5.8	5.2	210.4%	173.3%
China (Power & Grid Equipment)												
Sieyuan	002028.SZ	Power grid equipment	18%	31%	22%	24%	11%	12%	25.2	19.4	-34.7%	-36.7%
Pinggao	600312.SS	Power grid equipment	13%	16%	11%	12%	6%	6%	11.1	9.4	-46.6%	-46.0%
XJ	000400.SZ	Power grid equipment	11%	6%	10%	10%	5%	5%	9.2	7.8	-62.0%	-68.4%
NARI	600406.SS	Power grid equipment	11%	8%	17%	17%	9%	9%	15.4	14.3	-10.4%	-6.5%
Huaming Power Equipment	002270.SZ	Power grid equipment	10%	13%	24%	25%	15%	15%	17.3	15.3	-16.1%	-14.2%
Wasion	3393.HK	Power grid equipment	24%	24%	20%	23%	7%	8%	6.3	5.2	-7.4%	-8.1%
TGood	300001.SZ	Power grid equipment	17%	31%	16%	18%	5%	7%	12.4	10.1	-7.5%	-14.0%
Dongfang Electric	1072.HK	Power equipment	26%	24%	10%	12%	3%	3%	8.3	6.5	59.8%	51.9%
Harbin Electric	1133.HK	Power equipment	37%	3%	19%	17%	5%	5%	5.0	4.5	-51.7%	-51.3%
Shanghai Electric	2727.HK	Power equipment	22%	-1%	3%	3%	0%	0%	1.1	1.3	-4.0%	1.8%
China (Wind)												
Goldwind	2208.HK	Wind equipment	49%	14%	9%	10%	2%	3%	4.7	4.3	60.1%	54.6%
Ningbo Orient Cables	603606.SS	Wind equipment	44%	23%	20%	21%	11%	12%	11.7	9.4	-33.1%	-33.3%
China Sunten	0956.HK	Wind generation	-22%	10%	6%	6%	2%	2%	8.2	7.8	142.5%	141.5%
Dajin Heavy	1081.HK	Wind equipment	49%	45%	15%	16%	9%	11%	11.1	6.7	-42.8%	-37.2%
China Longyuan	0916.HK	Wind generation	4%	7%	6%	6%	2%	2%	7.2	7.0	164.4%	161.5%
Mingyang Smart Energy	601615.SS	Wind equipment	50%	33%	5%	7%	1%	2%	10.4	8.7	23.2%	27.7%
China (Solar)												
TBEA	600089.SS	Solar	23%	14%	13%	13%	4%	4%	8.0	7.3	24.3%	25.1%
Sungrow	300274.SZ	Solar	11%	26%	29%	29%	11%	11%	11.5	8.6	-59.7%	-53.1%
Deye	605117.SS	Solar	70%	25%	44%	42%	24%	24%	17.0	13.3	-22.7%	-23.1%
Tongwei	600438.SS	Solar	64%	210%	-5%	6%	-1%	1%	10.4	7.1	172.6%	158.3%
GCL Technology	3800.HK	Solar	78%	294%	-2%	3%	-1%	2%	5.5	3.8	24.2%	18.5%
Daqo New Energy	DQ.N	Solar	6%	118%	-2%	0%	-2%	0%	22.3	4.9	-16.2%	-18.5%
LONGi	601012.SS	Solar	123%	317%	1%	5%	1%	2%	8.2	5.4	-45.4%	-49.3%
Jinko Solar	688223.SS	Solar	75%	310%	-4%	9%	-1%	2%	5.7	3.9	34.6%	26.3%
Trina Solar	688599.SS	Solar	78%	251%	-5%	7%	-1%	1%	7.1	4.9	98.1%	83.7%
Xinyi Solar	0968.HK	Solar	-170%	265%	-2%	3%	-1%	2%	11.1	6.4	20.2%	18.5%
Xinyi Energy	3868.HK	Solar	-4%	2%	7%	7%	4%	4%	5.5	5.3	44.7%	41.1%
Flat Glass	6865.HK	Solar	-224%	115%	-6%	1%	-3%	0%	9.9	4.4	49.5%	50.7%
Hangzhou First	603806.SS	Solar	134%	17%	11%	12%	8%	9%	14.9	12.7	-3.4%	-6.6%
JA Solar	002459.SZ	Solar	20%	51%	-18%	-10%	-4%	-2%	12.8	8.8	104.9%	99.5%
Maxwell	300751.SZ	Solar	-6%	88%	8%	14%	3%	5%	23.1	17.6	-2.9%	-7.6%
China (Gas)												
ENN Energy	2688.HK	Gas	-2%	-3%	12%	11%	5%	5%	4.7	5.0	22.7%	24.5%
Kunlun Energy	0135.HK	Gas	11%	-1%	9%	8%	4%	4%	2.5	2.5	-22.6%	-24.7%
CR Gas	1193.HK	Gas	0%	3%	8%	8%	3%	3%	4.9	5.0	23.7%	22.7%
HKCG	0003.HK	Gas	1%	5%	10%	10%	4%	4%	11.9	11.6	75.1%	75.7%
Towngas Smart Energy	1083.HK	Gas	-5%	7%	5%	5%	2%	3%	7.0	6.8	44.9%	46.1%
Beijing Enterprises	0392.HK	Gas	5%	4%	6%	6%	2%	2%	3.9	4.4	56.3%	51.1%
ENN Natural Gas	600803.SS	Gas	15%	7%	22%	23%	4%	4%	5.6	6.3	47.7%	45.4%
China Gas	0384.HK	Gas	-16%	-2%	5%	5%	2%	2%	8.0	7.5	83.1%	85.8%
China (Power)												
China Power Intl	2380.HK	Generation	-5%	-10%	6%	6%	1%	1%	10.4	10.1	202.8%	200.5%
Huadian	1071.HK	Generation	-12%	-9%	10%	8%	2%	2%	7.5	8.1	112.0%	99.0%
Yangtze Power	600900.SS	Generation	4%	2%	16%	15%	6%	7%	14.1	13.6	108.9%	98.2%
CR Power	0836.HK	Generation	-13%	-4%	11%	10%	3%	3%	6.5	6.7	150.5%	149.8%
CNNP	601985.SS	Generation	-5%	10%	8%	8%	1%	1%	14.9	15.0	189.7%	199.2%
CGN Power	1816.HK	Generation	-4%	7%	7%	7%	2%	2%	11.0	11.8	164.9%	176.5%
Huaneng	0902.HK	Generation	-35%	-35%	5%	3%	1%	1%	8.0	8.5	134.0%	137.0%
China (Environmental Protection)												
CE Environment	0257.HK	Waste-to-energy	8%	6%	8%	8%	2%	2%	11.9	11.2	99.3%	92.2%
BE Water	0371.HK	Water	1%	6%	6%	6%	1%	1%	14.0	13.1	118.1%	116.4%
Hong Kong & Regional												
Guangdong Investment	0270.HK	Water	2%	4%	11%	11%	5%	5%	4.6	4.1	4.2%	-3.8%
CKI	1038.HK	Infrastructure	191%	-64%	18%	6%	14%	5%	9.9	36.1	-25.8%	-28.2%
Power Assets	0006.HK	Generation	167%	-57%	17%	7%	16%	7%	2.5	37.1	-10.8%	-9.8%
CLP	0002.HK	Generation	-3%	2%	10%	10%	5%	5%	10.0	9.7	54.7%	51.1%
HKEI	2638.HK	Generation	6%	0%	7%	7%	3%	3%	12.7	12.9	104.9%	106.1%
Wgt avg (by mkt cap)			22.4%	25.0%	13.1%	13.1%	5.5%	5.4%	11.3	11.6	64.3%	62.4%

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Source: Citi Research

Figure 3. 1H26/2Q26 results preview table

Company	Currency	Period	Citi 2Q26E or 1H26E net profit	YoY	Beat or Miss	Comment on management guidance & share price drivers
Gas distributors:						
CR Gas	Rmbm	1H26	2,350	-2.2%	Miss	Share buyback >40m shares done so far, with share buyback pace accelerated since May 2026 Expecting core profit to drop 3% yoy to Rmb3bn in 1H26 owing to less new household connections
ENN Energy	Rmbm	1H26	2,350	-3.3%	Miss	down mor than 10% yoy Expecting more profits from SAF, green methanol and HK gas operation offsetting less from PRC gas
HKCG	HK\$m	1H26	3,000	1.2%	Inline	operation owing to reduced new household connections
Kunlun	Rmbm	1H26	2,900	-8.3%	Miss	Profit cut for less new household connections and dollar margin cut of retail gas sales
Gas distributors:						
CLP	HK\$m	1H26	5,500	-2.8%	Miss	Assuming less profits from Australia (for lowered wholesales margins) and China (for renewable tariff and utilisation cut) despite with more earnings from Hong Kong
CKI	HK\$m	1H26	21,000	383.0%	Inline	HK\$17bn one-off disposal gain from the sales of UK Rail in Jan 2026 (HK\$2bn) and UKPN on 7 May 2026 (HK\$15bn); recurrent net profit -8% yoy to HK\$4.0bn in 1H26E owing to the disposal; 1H26E DPS to rise HK\$0.02 yoy to HK\$0.75. Some forex gain from AUD but forex loss from GBP
PAH	HK\$m	1H26	13,830	354.6%	Inline	HK\$11bn one-off disposal gain from the sales of 40% owned UKPN on 7 May 2026; recurrent net profit -7% yoy to HK\$2.83bn in 1H26E owing to the disposal; 1H26E DPS to be flat yoy at HK\$0.75. Some forex gain from AUD but forex loss from GBP
Coal fired IPP:						
China Resources Power	HK\$m	1H26	6,298	-20.0%	Miss	Assuming in 2Q26E (i) PRC on-grid tariff to -1.5% yoy, (ii) PRC electricity sales volume to +14% yoy, (iii) PRC unit fuel cost to +5% yoy; (iv) less profits from wind & solaf farms; and (v) capacity tariff of coal fired plants +65% yoy
Huaneng Power	Rmbm	2Q26	2,913	-32.1%	Miss	Assuming in 2Q26E (i) PRC on-grid tariff to -2% yoy, (ii) PRC electricity sales volume to be flat yoy, (iii) PRC unit fuel cost to +4.2% yoy; (iv) less profits from wind & solaf farms and (v) capacity tariff of coal fired plants +65% yoy
Renewable IPP:						
Longyuan	Rmb	2Q26	1,300	-15.4%	Miss	Assuming in 2Q26E (i) on-grid wind tariff -5% yoy and (ii) wind farm utilisation -10% yoy
CGNP	Rmb	2Q26	2,700	-7.8%	Miss	Assuming profit cut for higher sales mix from market based sales leading to lowered average tariff
CYPC	Rmb	2Q26	8,660	10.0%	Beat	2Q26 hydropower output up 2.8% yoy owing to more water inflow
Grid equipment						
NARI	Rmb	2Q26	2,525	11.1%	Inline	Profit growth from more product delivery primarily for domestic market

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Source: Citi Research

Figure 4. 1H26 results calendar

Mon	Tue	Wed	Thu	Fri
20	21	22	23	24
			LS Electric	
27	28	29	30	31
	HD Hyundai Electric			Hyosung Heavy
				Xinyi Solar
				Xinyi Energy
August				
3	4	5	6	7
	Ningbo Orient Cables		CLP Analyst briefing at 4:00pm HKT	
10	11	12	13	14
	China Everbright Water	China Everbright Greentech		Sieyuan
	HK Electric Investment	CKI		
		Power Assets		
17	18	19	20	21
Towngas Smart Energy	Huaneng Power Int'l	Pinggao		TBEA
	HKCG	XJ		Dajin Heavy
		Deye		
		Hangzhou First		
24	25	26	27	28
Tgood	Dongfang Electric	NARI	Longyuan	Huaming
Maxwell	Goldwind	Jinko Solar	JA Solar	Shanghai Electric (08-31)
Sigenergy	Flat Glass	Trina Solar	ENN Natural Gas	Mingyang
	Suntien		Huadian	Sungrow
			Wasion	LONGi (08-31)
				CNNP
				Yangtze Power (08-31)
				China Everbright Environment

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Appendix A-1

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